

Personally, I'd had nothing to do with options on individual stocks since the early fiasco I referred to back in chapter 1. But after getting the good news on Loews, plus being so close to the place where the Loews options were traded, I felt obligated to give it a try.

Other factors aroused my desire for quick profit. My wife was about to visit me in Chicago. On the phone she said she was thrilled about my success in commodities. Since she was ignorant of the general sorry condition of the rest of my portfolio, not to mention the pettiness of the success in commodities, I thought a big move in Loews might improve things by the time she arrived.

More to the point, since she'd heard about Loews herself, it was unsafe for me to ignore it. If I ignored it, then Loews would surely go up 20 points and she'd ask me how I could have missed it. If Loews went down, there was a measure of protection in the fact that Loews was her broker's idea.

There was one problem. I found out that Loews was basically a tobacco company. It did a lot of other things, such as operate movie theaters, as is the case with normal American conglomerations. But basically, it was tobacco. Years ago, my wife and I promised ourselves we'd never invest in a tobacco company. Without getting too maudlin about it, her first husband had died of lung cancer.

When I informed my wife, via telephone, about Loews and the tobacco, it put an end to her interest in the stock. But by then I'd gotten very interested in the option.

This was the kind of ethical dilemma that made it trickier than ever to invest. Not only did you have to find something that would make you money, it had to be something that wouldn't make you sick. The more you learned about any enterprise—its nuclear involvements, defense contracts, mistreatment of women and minorities, tainted funding, or sales to South Africa—the less likely you could stand to be associated with it.

How many profitable opportunities were missed because of ethics I couldn't imagine. I haven't mentioned it because it sounds self-serving, but during this entire journey I had my eye on Union Carbide stock, which I forced myself to resist out of respect for the victims of Bhopal. The stock, meanwhile, had tripled in price.